

BEFORE THE FEDERAL MARITIME COMMISSION

SAMSUNG ELECTRONICS AMERICA, INC.

Complainant,

v.

SM LINE CORPORATION

Respondent.

Docket No. 23-01

SEA’S MOTION FOR LEAVE TO CONTINUE THE RULE 143(b)(6) DEPOSITION

Complainant Samsung Electronics America, Inc. (“SEA”), submits this Motion for Leave to Continue the Rule 143(b)(6) Deposition (“Motion”) against Respondent SM Line Corporation (“SM Line”). The Motion is filed as a matter of urgency with a February 7, 2024, fact cut-off.¹

FACTS**SM Line’s Corporate Designee Was Woefully Unprepared**

On November 22, 2023, SEA timely issued a Rule 143(b)(6) notice to SM Line.² On December 14, 2023, SM Line advised that Mr. Kwang Kuk Choi (“KK Choi”), the highest-ranking employee in the U.S., would be its corporate designee to address all topics. The Rule 143(b)(6) deposition of Mr. Choi proceeded on January 19, 2024, but was marred with significant problems that inordinately and prejudicially prevented the taking of testimony on the noticed topics.

Mr. Choi was entirely unprepared to testify fully to the topics included in Schedule A of SEA’s Rule 143(b)(6) Deposition Notice (“Schedule A”). Moreover, the interpreters took up more than half the deposition time. Specifically, Mr. Choi testified that he had minimal preparation with SM Line counsel specifically regarding the Rule 143(b)(6) deposition, held the day before the

¹ Order Regarding Discovery Motions [Dkt. Nos. 40, 41, 42, 43, 44, and 51], Docket No. 23-01 at 6 (ALJ Jan. 24, 2024).

² **See Ex. A**, SEA’s Rule 143(b)(6) Deposition Notice to SM Line.

deposition (after a full day of being individually deposed), when he reviewed the deposition notice and some documents containing numbers related to SM Line.³ If Mr. Choi had the requisite underlying knowledge necessary for a corporate witness, this could have met the minimum necessary for adequate preparation. But his testimony shows either a complete lack of knowledge or a failure to prepare rendering his testimony unreliable and incomplete.

For example, with Schedule A Topics 2, 3, 9, 10, 11, 15, 20, and 23, Mr. Choi demonstrated he was not prepared to testify on most of these issues. For example, when asked to explain SM Line's contracts and arrangements with various inland transportation subcontractors (i.e., trucking, rail, and chassis), he could not provide any information, simply stating he did not believe those documents had been produced during discovery due to confidentiality.⁴ These documents form the basis for the D&D charges imposed on SEA for SM Line container moves. Because SM Line is the contracting party for store-door moves with these critical supply chain entities, his inability to explain SM Line's corporate positions is unacceptable.

The witness was also unable to testify fully about critical aspects of SM Line's Demurrage and Detention ("D&D") practices and policies. Most notably, SM Line's actual objectives for D&D as expressed by the Korea-based SM Lines operations team responsible for the D&D practices and policies and multiple prior iterations of SM Line's written D&D policy in effect and revised during the relevant 2020-2022 time period for SEA's claims.⁵ D&D forms the majority of SEA's alleged damages in its complaint. To be unable to address the policies in place during the relevant 2020-2022 time period that resulted in millions of dollars in charges SEA was forced to

³ **Ex. B**, Rule 143(b)(6) Dep. Tr. Rough at 5:7-6:9. SEA opted not to waste the Presiding Officer's time by including all 156 pages of the Rule 143(b)(6) deposition rough transcript with this Motion. It is, however, available and can be provided upon request.

⁴ *See Ex. B* at 33:12-24, 36:3-19, 46:10-48:25, 67:12-20, 133:15-24, and 134:21-136:11.

⁵ **Ex. B** at 95:18 –101:19.

pay prejudiced SEA's deposition. This is especially the case when he testified that his authority to resolve D&D charges in the U.S. was capped at [REDACTED].⁶ This too is problematic because a large proportion of the D&D charges at issue here exceed [REDACTED]. The head of SM Line's US operations had so little authority to waive charges and as such may not have personally cared what SM Line's D&D policies were. But as the corporate designee of a company making tens of millions off D&D charges foisted on shippers, he is not allowed to disclaim knowledge of these problematic policies.

Mr. Choi's lack of preparation was manifest when it came to 17 pages of critical documents be brought to the deposition (when testifying remotely from a home office). Mr. Choi explained that he had these documents because he needed to refer to them so that he could testify on a number of the financial and operational data related topics.⁷ Despite SEA making a demand for the documents on record during the deposition, it wasn't until the evening of January 25, 2024 (long after the January 19 deposition) that SM Line produced the 17 pages of documents.⁸ These unmarked, non-bates numbered documents included [REDACTED]

[REDACTED]. It also includes eight pages in Korean without accompanying translated copy of same.⁹ In light of Mr. Choi's unpreparedness on designated topics and the prejudice created by SM Line's failure to timely produce key relevant documents, an extension of his deposition is the appropriate curative remedy to address SEA's prejudice.

Mr. Choi's lack of preparedness compounded SEA's harm with the extensive involvement of SM Line's second, "check" interpreter, and the witness' own involvement in the translation process and exchanges. By rough calculation, these suspicious, high frequency interruptions,

⁶ Ex. C, K.K. Choi Dep. Tr. Rough at 80:15 – 81:4.

⁷ Ex. B at 6:10 – 22.

⁸ Ex. D, Email from W. Chung.

⁹ *Id.*

consumed at least half of the available deposition time on the record, time that was therefore not available for actual testimony.¹⁰ *In one instance, more than two (2) hours were required to address a straightforward issue related to a single exhibit.*¹¹

As a consequence of these actions, SEA counsel requested consent to keep the deposition open for continuation, which SM Line counsel denied on the record, initially on the basis that (1) the period for deposition was scheduled to end, and ultimately on the basis that (2) SM Line objected to continuing SEA's timely noticed 143(b)(b) deposition absent an agreement to allow SM Line to conduct its own 143(b)(6) deposition. SM Line counsel cut off the deposition at around 7 hours on the record (including the extensive translation delays) over SEA's stated objection.

The parties met and conferred on January 25, 2024. Among other things, the parties addressed SEA's need to reopen the 143(b)(6) deposition in light of the deponent's actions and responses. A demand to reopen, previously on the record, was made again. SM Line stated it must consult its client and would respond the morning of January 26. *No response has followed.*

ARGUMENT

The purpose of a corporate designee deposition "to avoid the bandying by corporations where individual officers or employees disclaim knowledge of facts clearly known to the corporation." *QBE Ins. Corp. v. Jorda Enters., Inc.*, 277 F.R.D. 676, 688 (S.D. Fla. 2012). Like a Rule 30(b)(6) deposition, SM Line had a duty to provide a knowledgeable corporate witness. *Starlight Int'l, Inc. v. Herlihy*, 186 F.R.D. 626, 639 (D.Kan.1999) ("Corporations, partnerships, and joint ventures have a duty to make a conscientious, good-faith effort to designate knowledgeable persons for [corporate designee] depositions and to prepare them to fully and unequivocally answer questions about the designated subject matter."). A corporation must prepare

¹⁰ Ex. B at 123:1 – 124:19.

¹¹ Ex. B at 75:15 – 111:9.

its designees by having them review available materials, such as fact witness deposition testimony, deposition exhibits, documents produced in discovery, materials in former employees' files and, if necessary, interviews of former employees or others with knowledge. *See Great Am. Ins. Co. of N.Y. v. Vegas Constr. Co., Inc.*, 251 F.R.D. 534, 540 (D. Nev. 2008).

I. SEA is Prejudiced by SM Line's Corporate Designee's Lack of Preparation

SM Line's corporate designee's unpreparedness had a cascading impact. There is an incomplete record as to SM Line's corporate position concerning potential Shipping Act violations and an inability for SEA to probe topics given well in advance to SM Line. "Commission precedent favors making decisions on the 'most complete record available.'" *Crocus Inv., LLC v. Marine Trans. Logistics, Inc.*, No. 15-04, 2019 WL 4734299, at *14 (F.M.C. July 16, 2019). There are well established consequences for such actions in order to prevent prejudice to aggrieved parties like SEA. A party may obtain leave of the presiding officer to take a deposition where "[t]he deponent has already been deposed in the case" and the re-opening of the deposition has not been stipulated to by the parties. 46 C.F.R. § 502.143(a)(2)(ii). Leave to re-open is critical here.

The Facts section, *supra*, makes plain Mr. Choi lacked knowledge of key SM Line corporate documents and information that were clearly within SM Line's possession. Good cause has been found for re-opening a corporate designee deposition where the designee demonstrated a lack of adequate preparation during the initial deposition. *See, e.g., In re FirstEnergy Corp. Sec. Litig.*, No. 2:20-cv-3785, 2022 WL 3582366, at *4 (S.D. Ohio Aug. 19, 2022) (finding the defendant "inadequately prepared its 30(b)(6) witness for the deposition" and "[t]he straightforward remedy here is to order a reopening of the 30(b)(6) deposition to which [the deposing party] were entitled"). "[L]imited preparation" of a corporate designee does not satisfy the requirement that a corporate designee make a "good faith effort . . . to find out the relevant

facts—to collect information, review documents, and interview employees with personal knowledge just as a corporate party is expected to do in answering interrogatories.” *Columbus Life Ins. Co. v. Wilmington Tr., N.A.*, 344 F.R.D. 207, 227 (D.N.J. 2023).¹²

Mr. Choi’s inability to address the SM Line D&D practices and policies, Schedule A Topics 1, 7, 8, 12 and 21, were most prejudicial. These policies are undeniably and critically relevant in this proceeding. They are established and managed by a team in the SM Line Korea headquarters referred to as the “Network Operations Team,” and/or “Operation Team,” using the acronym “SELCON”.¹³ SM Line’s “Demurrage and Detention Management Procedure” (“D&D Procedure”), [REDACTED]

[REDACTED]”¹⁴. SM Line produced only the most recent [REDACTED] iteration of the policy, despite six requests for production of prior iterations before the depositions,¹⁵ five iterations which are identified in the policy’s revision table.¹⁶

SELCON also prepared a “D&D Management Improvement Plan Report,” dated October 26, 2022 (the “SELCON Report”), reporting on D&D issues and potential changes to its D&D policies and practices.¹⁷ The summary page of the SELCON Report states that:

[REDACTED]

¹² Good cause to reopen has been found even where there was “no apparent bad faith” on the part of the producing party, as a deposing party’s case can be “greatly prejudiced by the ill-prepared 30(b)(6) [i.e. corporate] witnesses.” *See Edwards v. Hooks*, No. 5:21-CT-3270-D, 2023 WL 3674676, at *4 (E.D.N.C. May 26, 2023).

¹³ **Ex. B** at 74:21-22.

¹⁴ **Ex. E**, **Ex. 7** at SM Line_0110083.

¹⁵ *See Ex. F* (email exchanges and meet and confer).

¹⁶ **Ex. B** at 66:13 – 72:20; *See Ex. E*, Dep. Ex. 7.

¹⁷ **Ex. E**, Dep. Ex. 8; *see also Ex. E*, Dep. Ex. 9.

The SELCON Report explained that the current D&D policy was to [REDACTED]

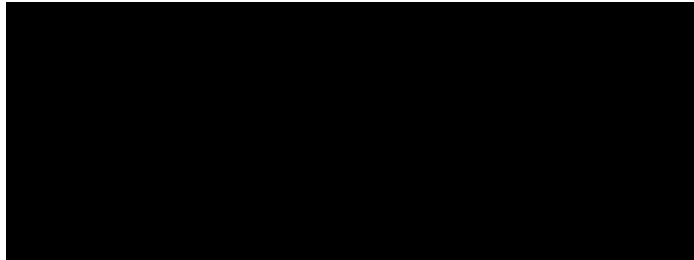
[REDACTED]

[REDACTED]”¹⁸ [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]



The above graphic is quoted verbatim from the SELCON Report. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED].¹⁹ And when asked what SM Line meant by the comparison of the external policy to the actual internal objections, Mr. Choi testified “I don’t know what this means exactly.”²⁰ “I don’t know” is unacceptable on this critical question from a corporate designee. Mr. Choi’s ignorance on these critical policies falls far short of SM Line’s “duty to present a [corporate designee] to provide a knowledgeable witness to address the noticed topics, provide the corporation’s position, and provide answers to bind the corporation.” *Great Am. Ins.*, 251 F.R.D. at 541.

As to SM Line’s written D&D Procedure during the relevant time period, in response to the question “Q: And you’re not familiar with the substance of the changes in these revisions since

¹⁸ Ex. E, Ex. 8 at SM Line_0178391 (trans.).

¹⁹ Ex. B at 86:1 – 87:10.

²⁰ Ex. B at 86:1 – 87:10.

2018; is that correct?,” Mr. Choi responded, “A: Right. I’m not really familiar with the revision details.”²¹ He was not prepared to testify regarding the revision history and SM Line counsel confirmed that prior versions of the D&D Procedure had not been produced. SEA counsel objected to his lack of preparation to testify on this topic, to which SM Line counsel stated that they would “take it under advisement and see if we can produce” the documents.²² Prior to the deposition, SM Line misrepresented that prior versions of the D&D Procedure did not exist, despite SEA counsel’s multiple prior requests.²³ However, at 5:05 p.m. during the 143(b)(6) deposition, SM Line surreptitiously provided a download link with all 6 iterations of the D&D Procedure.²⁴

This tardy, ill-timed production obstructed access and review of the prior versions during the key deposition. Substantively, SEA does not want to reveal all of the questions it will raise. But just looking at the differences between versions 4 and 5 of the D&D Procedure there are curious changes in late 2022. These changes include, but are not limited to: [REDACTED]

[REDACTED]

[REDACTED] [REDACTED] [REDACTED]

[REDACTED] [REDACTED] [REDACTED]

[REDACTED]

[REDACTED].

Process-wise, a review of SM Line Production 13 metadata (containing the prior versions of the D&D Procedure), reveals that counsel had the documents well in advance of the deposition, yet withheld them until pressed on the record.²⁵ A witness may be re-deposed “when the party

²¹ Ex. B at 69:1-5.

²² Ex. B at 72:1-11.

²³ See Ex. F (email exchanges and meet and confer).

²⁴ Ex. G. See also Ex. B at 114:22 – 115:14.

²⁵ Production 14 was provided to SEA on January 18, but Production 13 (which contained the documents and was presumably prepared before Production 14, both nominally and according to the bates stamps) was not provided until January 19 at 5 pm *during* Mr. Choi’s 143(b)(6) deposition.

seeking the deposition shows good cause that intervening circumstances have occurred or that the deponent party has, among other things, failed to disclosure relevant information ... or *produced documents in an untimely manner.*” *Columbus Life*, 344 F.R.D. at 226 (emphasis added).

II. Translation Delays Prejudiced SEA By Preventing Full Testimony

“To the extent that interpreters are used for either the 30(b)(6) deposition or the fact witness depositions, the time will be adjusted, based on the rule that the use of an interpreter doubles the deposition time.” *Procaps S.A. v. Patheon Inc.*, No. 12-24356-CIV, 2015 WL 2090401, at *6 (S.D. Fla. May 5, 2015); *see also Marlborough Holdings Group, Ltd. v. Pliske Marine, Inc.*, No. 08-62075-CIV, 2010 WL 4614704, at *1 (S.D. Fla. Nov. 5, 2010) (granting motion for additional one day for deposition because “use of a translator will effectively reduce the time available” and examining party is allowed the “opportunity to fairly examine the deponent”); *In re: Takata Airbag Products Liab. Litig.*, No. 15-2599, 2016 WL 5844311, at *3 (S.D. Fla. Sept. 8, 2016) (10 hours per foreign language deposition) The use of interpreters here doubled available time and the impact of two translators was therefore doubly prejudicial.

As a prime example of the prejudice by way of excruciating interpretation delays in the 143(b)(6) deposition, ***more than two (2) hours*** were spent on a simple discussion of the SELCON Report actual internal objectives in comparison with the D&D Procedure external objectives. Initially, when SEA counsel introduced the English translated version of the SELCON Report, Mr. Choi claimed no knowledge of the document at all.²⁶ After finally admitting that he was familiar with the original Korean document, what ensued was a protracted debate among the two interpreters, ***Mr. Choi***, and SM Line’s counsel Mr. Chung, regarding the accuracy of the the English translation.²⁷ Ultimately Mr. Choi would not answer any substantive questions until the

²⁶ **Ex. B** at 75:23 – 76:3.

²⁷ **Ex. B** at 81:25 – 83:23.

original Korean version of the SELCON Report was entered into the record, at which time further discussion of the document's translation followed. *At this stage Mr. Choi was actively "participating" in the translation work;* clearly understanding everything said in English, Mr. Choi went so far as to "correct" multiple of the English translations (while speaking Korean). Why did Mr. Choi need a translator? Pure gamesmanship. He testified he also holds a bachelor's degree in English Language and Literature.²⁸ Under the circumstances additional time on the record to compensate for these delays resulting from the use of multiple translators is warranted.

CONCLUSION

SEA respectfully requests to continue the Rule 143(b)(6) deposition with Mr. Choi answering questions for an additional (7) hours, as the corporate designee.

Dated: January 28, 2024

Respectfully submitted,

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²⁸ Mr. Choi is the senior corporate employee of the U.S. office of SM Line and he testified that English is the language he speaks in his day-to-day work. Ex. C, at 6:23-7:7. His bachelor's degree in English Language and Literature is from a prestigious Korea University and he is self-identified to have "Full Professional Proficiency" in English on his LinkedIn profile. Ex. H, K.K. Choi Dep., Ex. 2.

CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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